Cornerstone Core Property Fund

Quarterly Report — First Quarter 2026

Cornerstone Realty Advisors • Open-End Core Diversified Fund • Vintage 2010

Portfolio Manager Commentary

The Fund returned approximately +3.4% net for the quarter, its strongest result in three years, as the core valuation cycle turned. Roughly $1.45 million of appreciation was recorded alongside $0.54 million of gross income. The Fund's net asset value was approximately $55.7 million at quarter-end.

Investments Impacting Performance

Two assets drove the result. One Financial Plaza (Chicago office) was written back up following a full-floor lease to an investment-grade tenant, reversing part of last year's markdown. Bayfront Apartments (San Diego) appreciated on rent growth as concession burn-off completed. Prairie Logistics (Kansas City) was held flat.

Outlook

The Manager expects appraisal values to continue recovering through 2026 and has reduced leverage modestly to 27.9% LTV ahead of a planned acquisition programme.

Selected Portfolio Statistics (Quarter-End)

Metric	Value
Net Asset Value	$55,689,849
Quarter Total Net Return	+3.37%
Gross Income (Quarter)	$540,000
Appreciation (Quarter)	$1,450,000
Loan-to-Value	27.9%
Net Equity Multiple	2.34x

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